

AR Collections & Cash Application Policy

Document AR-SOP-2024.06 · Effective 1 June 2024 · Helios Industrial

1. Purpose

Confirm which customer invoices were paid from the bank statement. The invoice register is the source of truth for what is owed. The bank statement contains many unrelated operating items (payroll, utilities, fees, sweeps) that must not be treated as customer receipts.

2. Match rule (Matcher — names, not amounts)

Pair invoice rows to bank receipts on **customer name** / **payer name**. Legal names may differ from lockbox names (for example Northwind Wholesale Inc versus NORTHWIND WHSLE CO). Use semantic normalization. Do not fail a match solely on spelling.

Do not use amount as a match key. Short payments and overpayments must still pair so Finance can see the variance.

3. Amount tolerance (Math Engine)

After a name match, compare invoice **total_amount** to the paid bank **amount**. Allow the lesser of **1% of the invoice total** or **USD 50.00**. Formula: $\text{abs}(\text{actual} - \text{expected}) > \min(0.01 \times \text{expected}, 50.00)$ flags the row.

Example in-tolerance: invoice USD 45,200.00 vs receipt USD 45,190.00 (USD 10.00 under, under the USD 50 cap).

Example out-of-tolerance: invoice USD 88,400.00 vs receipt USD 79,560.00.

4. Split payments and duplicates

One invoice may be settled by several deposits. Match them as a group and emit leftovers on residuals. One wire covering two invoices is the opposite allocation. A second payment of the same invoice amount is a duplicate and must be flagged.

5. Aging and unpaid invoices

Invoices with no bank receipt that are past due more than **30 calendar days** escalate for collections. Cite this SOP in the decision explanation. INV-24-6007 Old Dominion Freight USD 22,100.00 is the in-scope unpaid example.

6. Output

Excel workbook with a sheet per outcome: matched (paid), residuals (partial / split leftovers), exceptions (unpaid, duplicate, out-of-tolerance). Download only — no Slack.